



FIGURE 1.2 Richard Thaler, PhD, renowned behavioral finance theorist.

warn investors. Sadly, few heeded the alarm. Mr. Greenspan's prediction came true, and the bubble burst. Though the correction came earlier than the Fed Chairman had foreseen, the damage did not match the aftermath of the collapse of the Japanese asset price bubble (the specter Greenspan raised in his speech).

More recently, Professor Shiller has been active in identifying the next bubble—in the U.S. housing market. Together with researcher Karl E. Case, Shiller has been collecting data on housing, which is now known as the S&P/Case-Shiller U.S. National Home Price Index. This is a composite of single-family home price indices for the nine U.S. Census divisions. As early as 2004, Shiller and Case asked, “Is there a bubble in the housing market?” They were early, but they were also quite correct. Mr. Shiller is an active commentator on news programs and is someone to whom, in my opinion, we should listen closely.

Another high-profile behavioral finance researcher, Professor Richard Thaler, PhD (Figure 1.2), of the University of Chicago Graduate School of Business, penned a classic commentary with Owen Lamont entitled “Can the Market Add and Subtract? Mispricing in Tech Stock Carve-Outs,”³ also on the general topic of irrational investor behavior set amid the tech bubble. The work relates to 3Com Corporation's 1999 spin-off of Palm, Inc., and argues that if investor behavior was indeed rational, then 3Com would have sustained a positive market value for a few months after the Palm Pilot spin-off. In actuality, after 3Com distributed shares of Palm